# The Culture of Business, Finance and the Economy

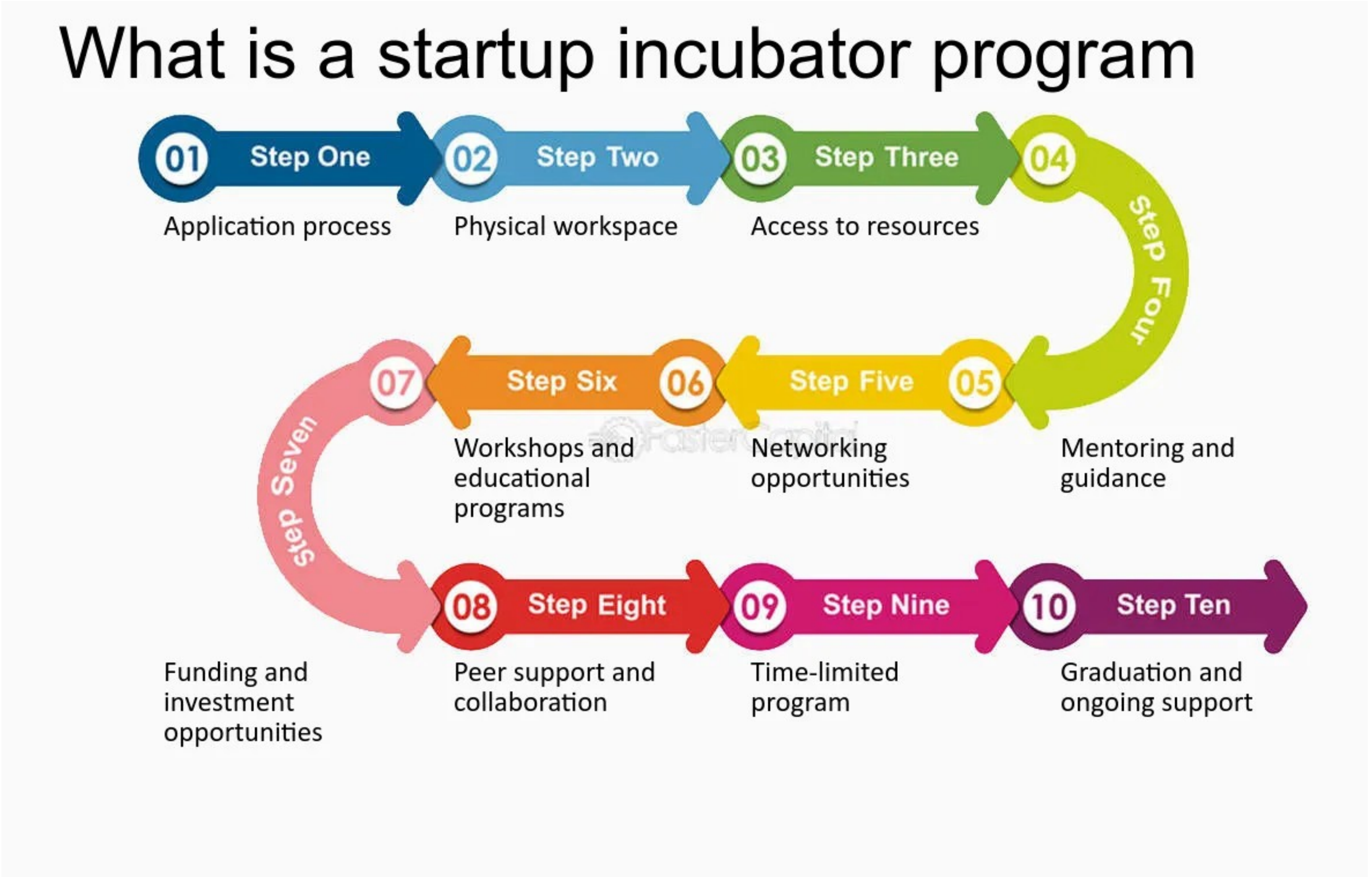
Class 19 – 26 may

Dr. Juan M. del Nido

First semester 2026

# Recap

## From makerspaces to venture capitalism I: the way of the start-up



# Today

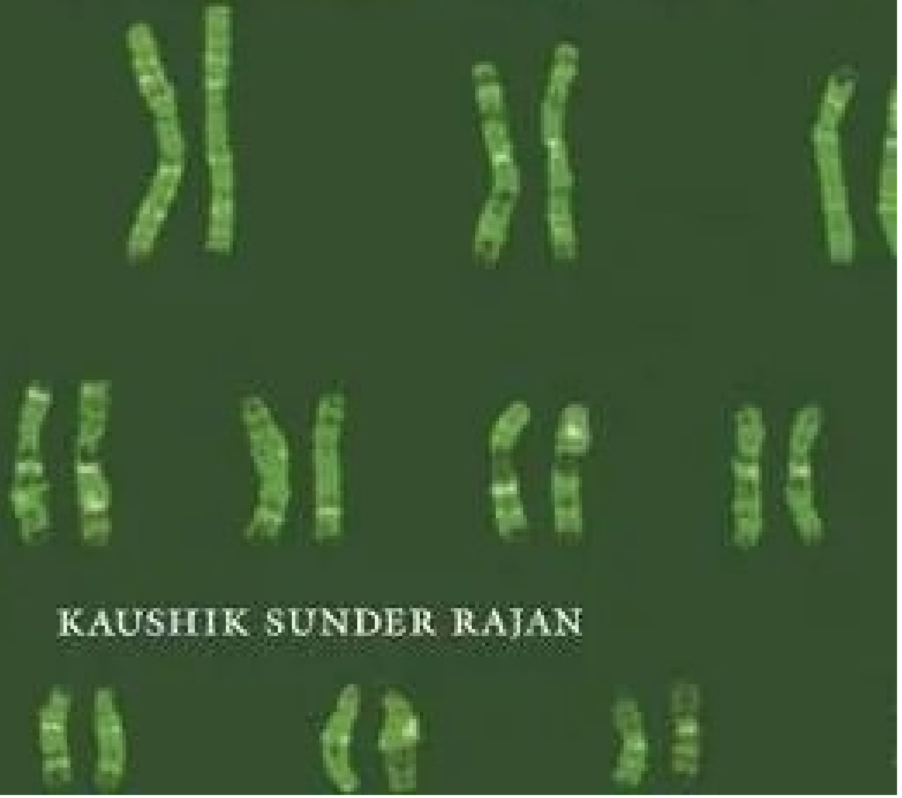
## From makerspaces to venture capitalism II: hype, pitching, leveraging



Researchers have completed a quest that started 32 years ago, having uncove
human genome. Learn more about this extraordinary achievement.

# Biocapital

## *The Constitution of Postgenomic Life*

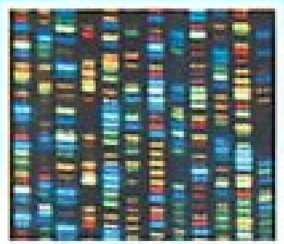


KAUSHIK SUNDER RAJAN

# Hype

**not about truth or falsity, but about credibility or incredibility.**

**It is a credible, fabricated truth that entrepreneurs and investors work toward rather than a fabricated lie that is meant to defraud and deceive. In this way, hype becomes a way for imagining the future and working to enact that future.**



Eleventh International

# Genome Sequencing and Analysis Conference

Fontainebleau Hilton, Miami Beach, FL

September 18-21, 1999

# on the verge of generating a working draft sequence of the human genome

# Count of Human Genes Is Put at 140,000, a Significant Increase

Give this article

By Nicholas Wade

Sept. 23, 1999

**The new estimate sets the number at 140,000. The genes provide all the information needed to develop, operate and maintain the human organism.**

**It was announced by Dr. Randy Scott, president and chief scientific officer of Incyte, at a conference in Miami. The number is a sharp upward revision and one that points up how much there is still to learn about human genetic programming.**

**Dr. Scott's company provides genetic information to pharmaceutical companies, as does its rival, the Celera Corporation of Rockville, Md., headed by Dr. J. Craig Venter. Dr. Scott's estimate for the total number of humans genes is double that calculated by Dr. Venter five years ago. At that time, Dr. Venter predicted 60,000 to 80,000 human genes.**

**In making its new estimate, Incyte scientists realised that while biologists cannot recognize where the genes lie on DNA, human cells can.**

**By tracing the cell's work, Incyte biologists figured that the total number of different genes in the full human DNA, or genome, was 130,000. Using a different method, Incyte calculated 143,000 genes in every cell of the human body. Putting the two estimates together produced the figure of 140,000.**

**The product of a genome company is the creation of information that is a condition of possibility for the creation of a drug.**

**The conditions of its own possibility (and thereby of the drug) can only be created by the creation of the conditions of possibility of the drug, that is, through a vision. This is a vision that functions as a plea to the investor to make possible its (possible) realization by investing in the company.**

**This is why the *vision of the future* creates the conditions of possibility for the *existence of the company in the present*. While this does not guarantee the realization of the vision in the future, it is a necessary condition for such a realization.**

**Scott was selling a vision for the future. This involved outlining a timed series of projections, through 2010, by which time, according to Scott, would be achieved a real understanding of the genome.**

**The beauty of a futuristic vision, of course, is that it does not have to be true. Visions do not even have to be *true* to sell.**

***"start-ups were taught to produce not products to be sold, but promises to be invested in".***

# Human Genome Project Results

In 2003, an accurate and complete human genome sequence was finished and made available to scientists and researchers two years ahead of the original Human Genome Project schedule and at a cost less than the original estimated budget.

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## The Finished Genome Sequence

This international effort to sequence the 3 billion DNA letters in the human genome is considered by many to be one of the most ambitious scientific undertakings of all time, even compared to splitting the atom or going to the moon.

The finished sequence produced by the Human Genome Project covers about 99 percent of the human genome's gene-containing regions, and it has been sequenced to an accuracy of 99.99 percent. In addition, to help researchers better understand the meaning of the human genetic instruction book, the project took on a wide range of other goals, from sequencing the genomes of model organisms to developing new technologies to study whole genomes.

Besides delivering on the stated goals below, the international network of researchers has produced an amazing array of advances that most scientists had not expected until much later. These "bonus" accomplishments include: an advanced draft of the mouse genome sequence, published in December 2002; an initial draft of the rat genome sequence, produced in November 2002; the identification of more than 3 million human genetic variations, called single nucleotide polymorphisms (SNPs); and the generation of full-length complementary DNAs (cDNAs) for more than 70 percent of known human and mouse genes.

# Telomere-to-Telomere (T2T)

The first complete, gapless sequence of a human genome.

Researchers have completed a quest that started 32 years ago, having uncovered the final DNA sequences that make up a human genome. Learn more about this extraordinary achievement.

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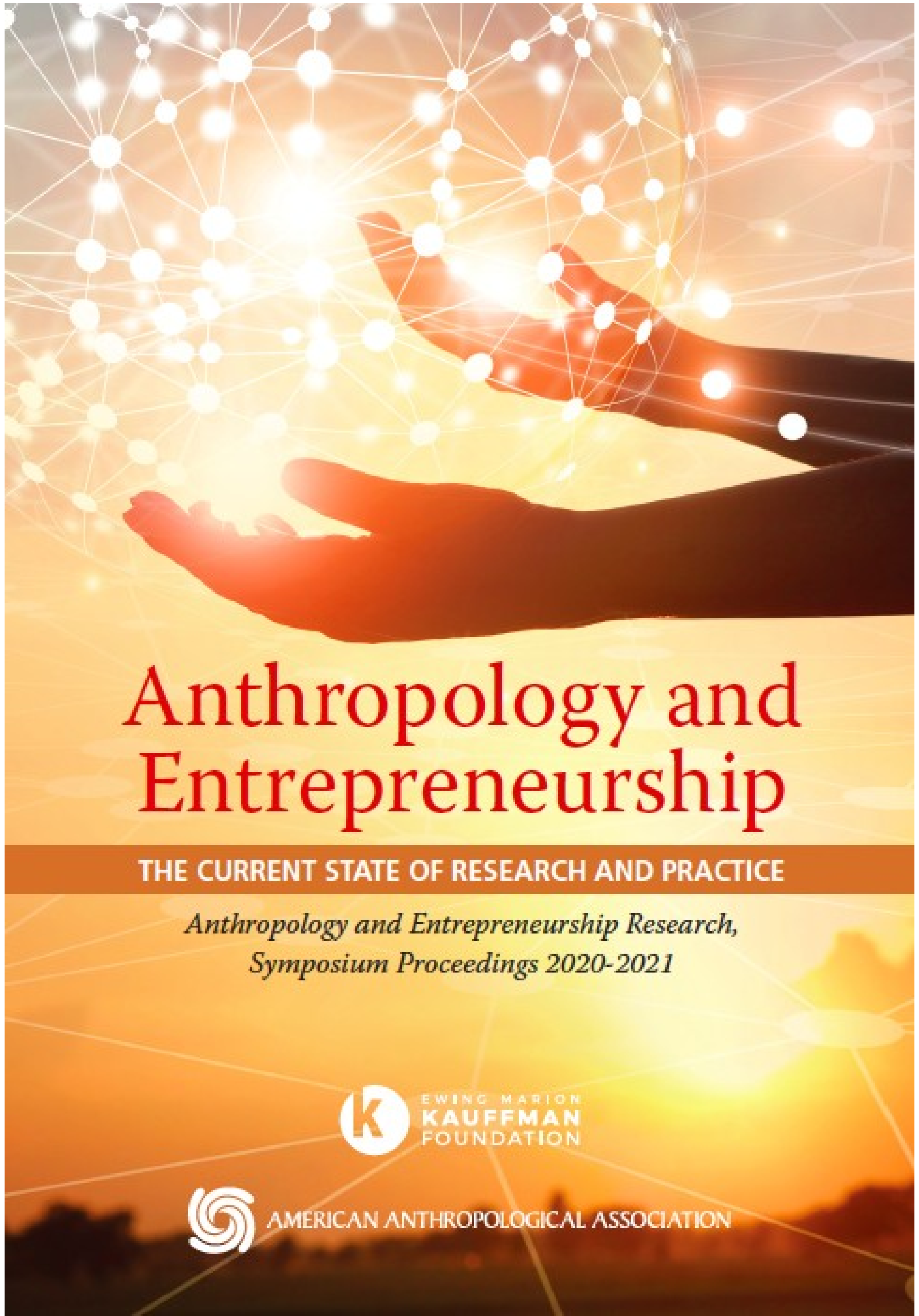
## News

**News Release:** **Researchers generate the first complete, gapless sequence of a human genome**
March 31, 2022

Further, the missionary zeal, at least in Scott's case, is not tied to some abstract utopian desire for Health but embedded and embodied by real stories of suffering. So that Scott finished his talk with a perfect, poignant story that speaks to the motto and vision of "Genomics for Life": a story of Scott's friend, recently diagnosed with cancer, who ten years later could have been saved by genomics.

And at this perfectly poignant, perfectly appropriate moment, after a talk that was perfectly orchestrated, Randy Scott, chairman and chief scientific officer of Incyte Pharmaceuticals, broke down and cried.

**We now know humans have about 26,000 - 30,000 genes.**


Anthropology and Entrepreneurship
THE CURRENT STATE OF RESEARCH AND PRACTICE
Anthropology and Entrepreneurship Research, Symposium Proceedings 2020-2021
EWING MARION KAUFFMAN FOUNDATION
AMERICAN ANTHROPOLOGICAL ASSOCIATION

CHAPTER 5

# Pitching Hype: Storytelling and Entrepreneurship

**ANGELA K. VANDENBROEK,** Texas State University


STHLM TECH
MEETUP NOV14
LIVE AT SPACE ARENA SERGELS TORG
EQT VENTURES
SPACE
EY
Stockholm
The Capital of Scandinavia
JOIN

STHLM TECH Meetup is Europe's largest gathering of startups each month.

This month we bring together Sweden's top angel investors and leading investment firms like EQT, Creandum, Northzone, Norrsken, Techstars and more to discuss IMPACT.  Will also interview the new CEO of Norrsken.

Will showcase some brilliant new solution to unf*ck the planet and dive into the details with our special guests to figure out the future of impact.

CET
17:00 - Networking in the bar
18:00 - Presentation
18:30 - Interviews
19:30 - Startup pitches
20:30 - Networking at the bar


Space Arena
**Guldgränd 8, Stockholm**

**Two entrepreneurs stood on stage to pitch their startup to a panel of venture capital investors (VCs). “Hello! I am Per and this is Jonna and this is our startup, Forests! We are on a mission to understand the world’s forests and their inhabitants.” Jonna moved to the second slide and told a somber story about an endangered forest-dwelling species. Continuing the somber tone, Per talked about the importance of forests in combatting climate change.**

I expected their next slide to present a “solution” to the “problem”, following the problem-solution narrative that dominates pitching tactics. Yet, on the fourth slide the endangered animal reappeared. The moderator interrupted, “Oh, this guy again!” The entrepreneurs laughed nervously, skipped the remainder of the slide and returned to their pitch: it was for a social logbook mobile app for amateur naturalists and forest enthusiasts that crowdsourced data for research. The moderator cut them off: “Let’s pause there because I think we are about to get to the good stuff”.

## He asked the venture capital investors "What is going through your mind now?"

**"How do they make money?" The first investor said, "I still don't know what they do." The second added, "I guess I don't know what exactly they are collecting, what for, or how they will make money from collecting it." The first investor said "Ok, so this is like social media for hikers. It seems like a nice app. And, I guess you would be collecting a unique data set. That gets me excited because you can always use it for something. But this is where I struggle. I don't get why this data is important. I get that this data is important for conservation which I think is great. But, how do you go from having that data to having an impact and making money from it."**

**Sensing the unease of a failed pitch, a VC added: This has potential. But, you’ve told me a nice story about conservation. And that is not what I need to hear, even if I agree with you. What I need is the core of your business; the conservation is a nice side effect that you can mention on the side.**

**“What’s happening here is that you want to create this business because of conservation— great. But, that takes away from the potential of being a good business pitch. An investor has to know how they are going to get their money back. Those things can go together, but you have to understand your motivations are different.”**

This is what you should say: I've built a great app that people love to use. It's a digital record book for hikers, birders, whatever, it has social stuff, gamification, it's addicting, people want to pay to use it. How do I know? Because we already have ten thousand users. And we can use the data to save the planet by giving it to scientists." An investors shouted, "I would give you money for that!"

VC investors have a responsibility to grow their fund through investments that will scale their valuations exponentially over the term of investment. Even VCs who care deeply about climate change have little to offer as an ally on that matter alone. They can offer expertise, resources, networks, and funds that support a company's growth. (next class)

CHAPTER 6

# Growth Hacking: On the Social Dimensions of High-Leverage Growth in Venture Capitalism

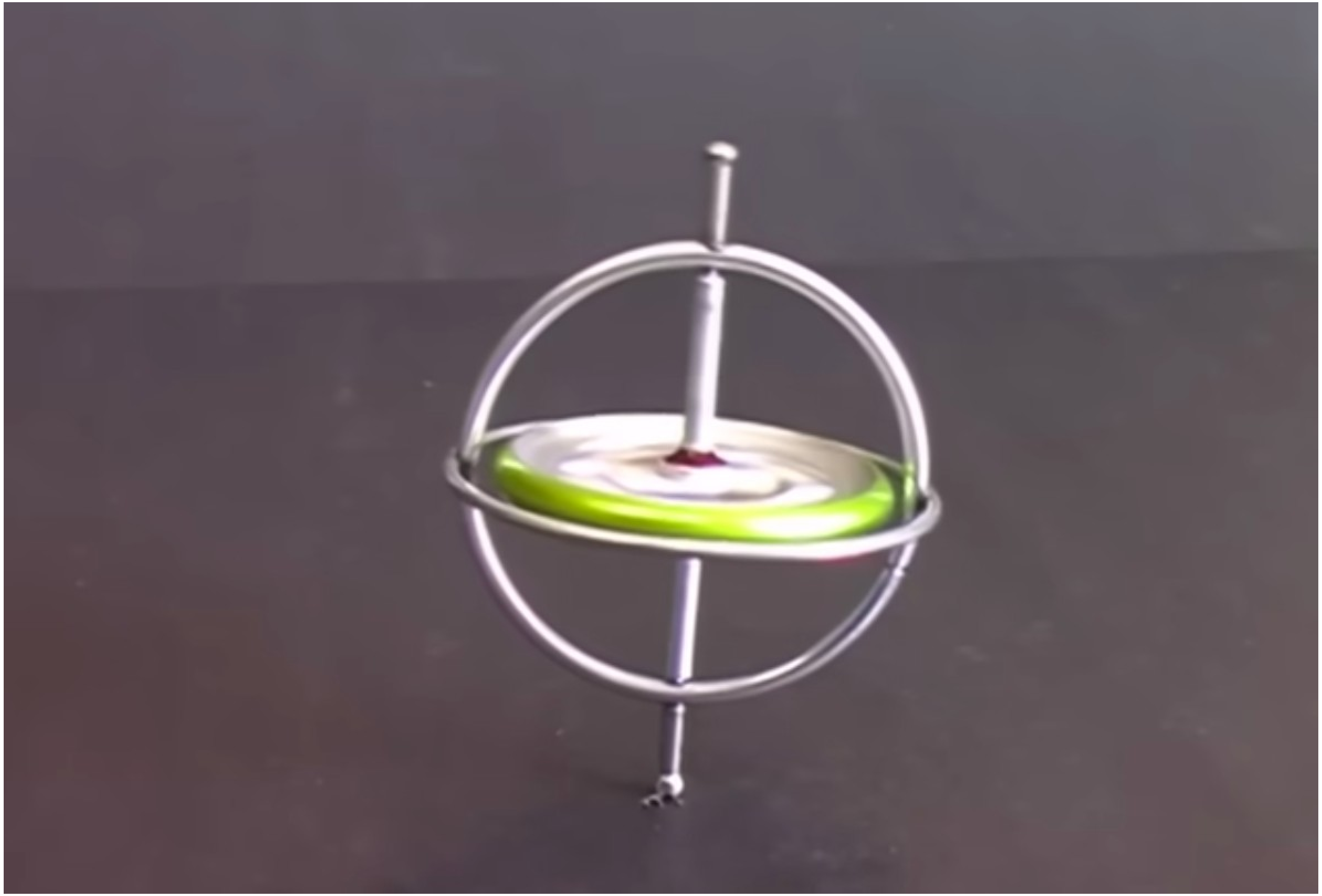
**JAMIE WONG,** Massachusetts Institute of Technology

# Leveraging

Borrowing money from lenders, banks or investors

Taking on risk in order to do business with resources that one does not own for the sake of speed and flexibility to take things further

# A Gyroscope Economy



# A “gyroscope” economy cannot balance unless spun fast

# make it or leave

# Junyi’s story

**Junyi and his classmate began making robot prototypes to pitch to investors. During a break back in China, a VC firm offered a significant amount of money for a small stake in their startup company which did not yet have a saleable product.**

**They worked frantically and realized they could only last for a few more months at their current "burn rate": the speed at which they were using up their liquidity as they hired new employees and prototyped iterations of their product to get what they hoped to sell. They turned to their VC investors for advice. They referred them to some other potential investors.**

**One of these was "Big Tech1" – one of the biggest in the world that had a whole VC arm. Junyi persuaded the head of the company's VC arm, Ben, who invited them to "demo" a unit at Big Tech1's campus. Ben specified what the prototype ought to be able to do at that point: effectively clear debris, sort out different types of rubbish, operate via remote control, avoid obstacles, and cope with uneven ground and steps. Junyi agreed.**

**Junyi's team had no idea if they could *even* achieve that. They got to work.**

**They met other potential investors, who knew Junyi's original VC and knew Big Tech1 had shown interest. Junyi could not yet secure contracts with these potential clients, but he did manage to extract "letters of intent" from them stating that should he secure <u>express</u> intent from Big Tech1 to use the robots, they would want them too. Leveraging his VC's and Big Tech1's reputation, Junyi established conditional ties.**

**(remember crowdfunding)**
**no actual money!**

**As the date of the "demo" drew near, Junyi's team hit a snag in developing their new prototype. "It is the little things that kill you," he mused. We recalled how an up-and-coming "eco-conscious" fashion startup had figured out how to manufacture textiles from all sorts of recycled materials, but the zipper supplier was paralyzed by the lockdowns, so the company collapsed.**

**Junyi's snag was signal interference. The robot included a GPS sensor and a Wi-Fi receiver, so the robot and its user knew its location, as well as for the user to control the robot remotely. The signals seemed to interfere with each other and Junyi's team couldn't figure out why.**

**He accelerated their “burn rate” to try to fix this. To counter the surging costs, he offered everyone unpaid vacation time. “I told them that we all needed the time off. But the truth is, the company’s funds were drying up.”**

**On demo day, they brought the robot to Big Tech1. They had not resolved the issue, and they did not know what to do. It was just past lunch time, and Big Tech1 employees streamed out of the canteen and crowded around Junyi’s team. Junyi and his engineers stared at each other in utter panic. As a last resort, they huddled around the robot, shielding it from view. The engineer gave it a hearty thump.**

# It worked: the robot operated perfectly just for the few minutes of the demo.

**Shortly after, Junyi received a letter from Big Tech1 expressing their willingness to station a number of their robots on their campus for a while. The letter also detailed that if the robots were able to fulfill a set of requirements within the stated timeline, they would be keen to make a larger order. As word of this letter got out, more letters came in. The time to harness those ties had come: with these letters of intent Junyi started knocking on VC doors. Given this "surge" in interested consumers (a proxy for "demand"), Junyi's team secured more VC funding. Not only did Junyi's company narrowly avoid implosion, it actually shot up in value.**

**This example of "growth hacking" was a virtuoso display of craftiness. Even though Junyi was not technologically capable of producing the robot, to the community of investors and founders he was artfully leveraging social relationships, money, risk, reputation and credibility to hold this *fabricated truth* together until the day he would become technologically accountable.**


JOSEPH GORDON-LEVITT
KYLE CHANDLER
UMA THURMAN
SUPER
PUMPED
The Battle For Uber
TAXI
UBER
2.27 SHOWTIME
CLEAR CHANNEL

# Conclusion

## Hype, pitching, leveraging

## An ethos that seizes our rationality from *beyond*